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Study Notes

The Central Vigilance Commission Act, 2003

INTRODUCTION

- The Central Vigilance Commission (“CVC”) is **the highest vigilance institution in India**, overseeing the vigilance administration in organizations where the executive powers of the Government of India extend.
- It **operates as an apex Integrity Institution**, enjoying complete independence and autonomy in its function.
- CVC was **established based on the recommendations of the Committee on Prevention of Corruption chaired by Shri K. Santhanam in 1964**.
- It was **initially set up through a Government resolution and later gained statutory status through the CVC Act of 2003**.
- CVC **operates independently and autonomously** in carrying out its functions as it is not controlled by any specific Ministry or Department. However, it is **accountable to the Parliament of India** for its actions and decisions and submits an annual report to the President of India, who, in turn, places it before both Houses of Parliament.
- CVC **exercises superintendence over vigilance matters in organizations under the jurisdiction of the Government of India**. Thus, it plays a **crucial role in preventing corruption and ensuring integrity in government organizations**.
- Thus, CVC **serves as a guardian of integrity within the government**, overseeing vigilance matters and acting independently of specific ministries or departments. Its responsibility to Parliament ensures transparency and accountability in its functioning.
- The CVC Act of 2003 **came into force on 12th September, 2003**.

CONSTITUTION OF CENTRAL VIGILANCE COMMISSION SECTION 3

- There will be an organization called the Central Vigilance Commission (CVC) **responsible for certain powers and functions under the law**. The CVC mentioned here is the **same as the one established earlier under the Central Vigilance Commission Ordinance, 1999**. Even though the ordinance ceased to operate and continued under the Government of India in the Ministry of Personnel, Public Grievances and Pensions (Department of Personnel and Training) Resolution, 4th April, 1999, as amended vide, 13th August, 2002, shall be deemed to be the Commission constituted under this Act. Thus, **the organization that was already in place will be considered the CVC under the new law**.
- The **Commission shall consist of--**
 - ✓ a Central Vigilance Commissioner -- *Chairperson*;
 - ✓ not more than two Vigilance Commissioners -- *Members*.

- The Central Vigilance Commissioner and the Vigilance Commissioners shall **be appointed from amongst persons:**
 - ✓ *having experience in the All-India Service, civil services of the Union, or civil posts under the Union, and should have knowledge and expertise in vigilance matters, policy-making, and administration, including police administration; or*
 - ✓ *who have held office or are holding office in a corporation established by or under any Central Act, or in a Government company owned or controlled by the Central Government. Individuals with expertise and experience in finance (including insurance and banking), law, vigilance, and investigations also qualify.*
- Further, among the Central Vigilance Commissioner and Vigilance Commissioners, **not more than two individuals should come from either of the above category.**
- The **Central Government shall appoint a Secretary to the Commission** to exercise such powers and discharge such duties as the Commission may by regulations specify.
- The Central Vigilance Commissioner, other Vigilance Commissioners, and the Secretary to the Commission, **who were initially appointed** under the Central Vigilance Commission Ordinance, 1999, or a specific Resolution, **are now considered to be appointed under the Central Vigilance Commission Act, 2003.** Their terms and conditions, including the duration of their office, remain the same as when they were initially appointed under the previous Ordinance or Resolution.
- The **headquarters of the Commission shall be at New Delhi.**

APPOINTMENT OF CENTRAL VIGILANCE COMMISSIONER AND VIGILANCE COMMISSIONERS SECTION 4

- The **President appoints** the Central Vigilance Commissioner and Vigilance Commissioners based **on the recommendations of a Committee which includes:**
 - ✓ *the Prime Minister as the Chairperson,*
 - ✓ *the Minister of Home Affairs, and the Leader of the Opposition in the House of the People as Members.*

TERMS AND OTHER CONDITIONS OF SERVICE OF CENTRAL VIGILANCE COMMISSIONER SECTION 5

- The Central Vigilance Commissioner can **serve for a maximum term of four years or until reaching the age of sixty-five, whichever is earlier.** After leaving the position, the Commissioner **cannot be reappointed** to the Commission.
- Vigilance Commissioner shall **hold office for a term of four years** from the date on which he enters upon his office or **till he attains the age of sixty-five years, whichever is earlier:**
 - ✓ Vigilance Commissioner, on ceasing to hold the office, shall be eligible for appointment as the Central Vigilance: the term of the Vigilance Commissioner, if appointed as the Central Vigilance Commissioner, shall **not be more than four years in aggregate as the Vigilance Commissioner and the Central Vigilance Commissioner.**

- **Central Vigilance Commissioner or a Vigilance Commissioner:**
 - ✓ *needs to take an oath or affirmation*, as specified in the Schedule, in front of the President or a person authorized by the President for this purpose.
 - ✓ *may, by writing addressed to the President, resign* his office.
 - ✓ *may be removed* from his office in the manner provided in section 6.
- On ceasing to hold office, the Central Vigilance Commissioner and every other Vigilance Commissioner **shall be ineligible for:**
 - ✓ *any diplomatic assignment, appointment* as administrator of a Union territory and such other assignment or appointment which is required by law to be made by the President;
 - ✓ *further employment to any office of profit* under the Government of India or the Government of a State.
- If the Central Vigilance Commissioner or any Vigilance Commissioner **is already receiving a pension for past government service, the salary for their role in the current position will be reduced by the amount of that pension.** The same applies if they are receiving **retirement benefits** from a Corporation or Government company. However, **their overall package**, including salary, allowances, and pension, shall **not be varied to their disadvantage after their appointment.**

REMOVAL OF CENTRAL VIGILANCE COMMISSIONER AND VIGILANCE COMMISSIONER SECTION 6

- The Central Vigilance Commissioner or any Vigilance Commissioner **can only be removed from office by the President** if there is proven misbehavior or incapacity. The removal can take place based on a report from the Supreme Court, following an inquiry initiated by a reference from the President.
- The **President has the authority to suspend** and, if required, **restrict the attendance** at the office of the Central Vigilance Commissioner or any Vigilance Commissioner during an inquiry. This action can be taken when a reference has been made to the Supreme Court, and it continues until the President receives and reviews the report from the Supreme Court.
- The **Central Vigilance Commissioner or any Vigilance Commissioner from office if any of the following conditions are met:**
 - ✓ Declared insolvent.
 - ✓ Convicted of an offense involving moral turpitude.
 - ✓ Engages in paid employment outside the duties of the office.
 - ✓ Unfit to continue in office due to mental or physical infirmity.
 - ✓ Acquires a financial or other interest that may negatively impact his functions in the role of Central Vigilance Commissioner or Vigilance Commissioner.
- If the Central Vigilance Commissioner or any Vigilance Commissioner **is involved or interested in any contract** made by the Government of India, or benefits from it directly, except as a member of an incorporated company along with others, it **shall be considered misbehavior.**

FUNCTIONS AND POWERS OF CENTRAL VIGILANCE COMMISSION SECTION 8

- The **functions and powers of the Commission** shall be to:
 - ✓ *oversee and direct the activities* of the Delhi Special Police Establishment, specifically regarding the investigation of offenses under the Prevention of Corruption Act, 1988 and includes offenses that public servants, as defined in the Code of Criminal Procedure, 1973, may be charged with in the same trial.
 - ✓ *provide instructions* to the Delhi Special Police Establishment to fulfill its responsibilities under the Delhi Special Police Establishment Act, 1946. However, these instructions should not dictate how a specific case should be investigated or resolved. The Commission's powers are not meant to interfere with the investigative process.
 - ✓ *investigate allegations of corruption* against public servants working for the Central Government or entities controlled by it, based on references received from the Central Government and includes offenses under the Prevention of Corruption Act, 1988, and other offenses for which a public servant can be charged in the same trial under the Code of Criminal Procedure, 1973.
 - ✓ *investigate or initiate an inquiry* based on a complaint against officials falling within the specified category, alleging offenses under the Prevention of Corruption Act, 1988, and offenses for which a public servant may be charged in the same trial under the Code of Criminal Procedure, 1973.
 - the *specified category of persons* referred above are:
 - members of All-India Services serving in connection with the affairs of the Union and Group 'A' officers of the Central Government;
 - Central Government has the authority to specify the level of officers in corporations, government companies, societies, and local authorities owned or controlled by the Central Government, who fall under the purview of the Central Vigilance Commission. Until such notification is issued, all officers in these entities are considered to be covered above;
 - based on a reference made by the Lokpal under the Lokpal and Lokayuktas Act, 2013, also include members of Group B, Group C, and Group D services of the Central Government, officials or staff at a specified level in corporations, government companies, societies, and local authorities owned or controlled by the Central Government, as may be notified. Until such notification is issued, all officials or staff in these entities are considered to be covered.
 - ✓ *assess and monitor* the ongoing investigations conducted by the Delhi Special Police Establishment related to offenses under the Prevention of Corruption Act, 1988, or offenses for which a public servant can be charged in the same trial under the Code of Criminal Procedure, 1973.
 - ✓ *review the progress* of applications pending with the competent authorities for sanction of prosecution under the Prevention of Corruption Act, 1988.

- ✓ *provide guidance and recommendations* to the Central Government, corporations under Central Acts, government companies, societies, and local authorities owned or controlled by the Central Government on matters referred to it or otherwise.
- ✓ *vigilance activities* of Central Government ministries, corporations under Central Acts, government companies, societies, and local authorities owned or controlled by the Central Government. However, this oversight must align with government directions on vigilance matters, and the Commission cannot issue directives on policy matters.

ACTION ON PRELIMINARY INQUIRY IN RELATION TO PUBLIC SERVANTS SECTION 8A

- After a preliminary inquiry, if the Central Vigilance Commission **finds evidence of corruption by Group C and Group D officials** of the Central Government, it can take the following actions:
 - ✓ *initiate an investigation* by an agency or the Delhi Special Police Establishment.
 - ✓ *commence disciplinary proceedings* or take appropriate action against the implicated public servant by the competent authority.
 - ✓ *close the proceedings* against the public servant and initiate action against the complainant under section 46 of the Lokpal and Lokayuktas Act, 2013.
- Preliminary inquiries, should **ordinarily be completed within ninety days**. If there are any delays, the reasons for the delay must be documented in writing.

ACTION ON INVESTIGATION IN RELATION TO PUBLIC SERVANTS SECTION 8B

- If the Commission decides to investigate a complaint under section 8A(1)(a), it will instruct an agency (which may include the Delhi Special Police Establishment) to conduct the **investigation as expeditiously as possible and complete the investigation within six months from the date of the Commission's order** and submit a report of its findings to the Commission. However, the Commission can extend this period by another six months, if needed, with reasons explained in writing.
- The Commission shall **review each report it receives** from an agency (including the Delhi Special Police Establishment) **and make decisions such as**:
 - ✓ *filing a charge-sheet* or a closure report before the Special Court against the public servant; or
 - ✓ *initiating departmental proceedings* or any other suitable action against the concerned public servant by the competent authority.

PROCEEDINGS OF COMMISSION SECTION 9

- The Commission shall **conduct its proceedings at its headquarters**.
- It has the authority, **through unanimous decisions, to establish procedures for conducting business and allocating responsibilities** among the Central Vigilance Commissioner and other Vigilance Commissioners.

- The Commission **aims for unanimous decisions**, but if there is a **difference of opinion**, matters are decided according to the **majority view**.
- The **meeting is chaired by the Central Vigilance Commissioner** or, in their absence, the **senior-most** Vigilance Commissioner present.
- No act or proceeding of the Commission shall **be invalid merely by reason of**:
 - ✓ *any vacancy in, or any defect in the constitution of, the Commission; or*
 - ✓ *any defect in the appointment of a person acting as the Central Vigilance Commissioner or as a Vigilance Commissioner; or*
 - ✓ *any irregularity in the procedure of the Commission not affecting the merits of the case.*

VIGILANCE COMMISSIONER TO ACT AS CENTRAL VIGILANCE COMMISSIONER IN CERTAIN CIRCUMSTANCES SECTION 10

- If the Central Vigilance Commissioner's position becomes vacant due to death, resignation, or other reasons, the **President can authorize one of the Vigilance Commissioners** to act as the Central Vigilance Commissioner **temporarily until a new appointment is made** to fill the vacancy.
- If the Central Vigilance Commissioner is **unable to discharge his functions** due to reasons like taking leave or other circumstances, the **President can authorize one of the Vigilance Commissioners** to temporarily carry out the functions of the Central Vigilance Commissioner until the latter resumes their duties.

POWER RELATING TO INQUIRIES SECTION 11

- The Commission shall, while conducting any inquiry referred to under section 8(1) (b) & (c), have **all the powers of a civil court trying a suit under the Code of Civil Procedure, 1908 and in particular, in respect of the following matters**:
 - ✓ *summoning and enforcing the attendance of any person from any part of India and examining him on oath;*
 - ✓ *requiring the discovery and production of any document;*
 - ✓ *receiving evidence on affidavits;*
 - ✓ *requisitioning any public record or copy thereof from any court or office;*
 - ✓ *issuing commissions for the examination of witnesses or other documents; and*
 - ✓ *any other matter which may be prescribed.*

DIRECTOR OF INQUIRY FOR MAKING PRELIMINARY INQUIRY SECTION 11A

- The **Director of Inquiry, appointed by the Central Government, is a senior official** at the Joint Secretary level. Their **role is to conduct preliminary inquiries** referred to the Commission by the Lokpal.
- The **Central Government is responsible for providing the Director of Inquiry with the necessary officers and employees** needed to carry out their functions under this Act.

EXPENSES OF COMMISSION TO BE CHARGED ON THE CONSOLIDATED FUND OF INDIA SECTION 13

- The expenses of the Commission, which include salaries, allowances, and pensions for the Central Vigilance Commissioner, Vigilance Commissioners, Secretary, and Commission staff, will **be covered by the Consolidated Fund of India**.

ANNUAL REPORT SECTION 14 SECTION

- The Commission has the responsibility **to annually submit a report to the President**, summarizing its activities **within six months of the end of the reporting year**.
- This **report must include** a specific section on how the Delhi Special Police Establishment operates concerning Section 4(1) of the Delhi Special Police Establishment Act, 1946.

APPOINTMENTS, ETC., OF OFFICERS OF DIRECTORATE OF ENFORCEMENT SECTION 25

- The **Central Government will appoint a Director of Enforcement in the Directorate of Enforcement under the Ministry of Finance** and the appointment will be **based on the recommendation** of a committee consisting of:
 - ✓ the Central Vigilance Commissioner -- *Chairperson*;
 - ✓ Vigilance Commissioners -- *Members*;
 - ✓ Secretary to the Government of India in-charge of the Ministry of Home Affairs in the Central Government -- *Member*;
 - ✓ Secretary to the Government of India in-charge of the Ministry of Personnel in the Central Government -- *Member*;
 - ✓ Secretary to the Government of India in-charge of the Department of Revenue, Ministry of Finance in the Central Government -- *Member*;
- While making a recommendation, the **Committee shall take into consideration the integrity and experience** of the officers eligible for appointment;
- No person below the rank of Additional Secretary to the Government of India shall be eligible for appointment as a Director of Enforcement and shall continue to hold office for **a period of not less than two years** from the date on which he assumes office;
 - the period for which the Director of Enforcement holds the office on his initial appointment may, in public interest, on the recommendation of the Committee and for the reasons to be recorded in writing, *be extended up to one year at a time: no such extension shall be granted after the completion of a period of five years in total* including the period mentioned in the initial appointment;
- Director of Enforcement shall **not be transferred except** with the previous consent of the Committee;
- The **Committee shall, in consultation with the Director of Enforcement, recommend** officers for appointment to the posts above the level of the Deputy Director of Enforcement

and also recommend the extension or curtailment of the tenure of such officers in the Directorate of Enforcement;

- **On receipt of the recommendation the Central Government shall pass such orders as it thinks fit to give effect to the said recommendation.**